AeroVironment (AVAV)

Goodwill Impairments and Cash Burn Overshadow Backlog Momentum

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While consensus continues to celebrate headline revenue expansion and record backlog bookings, the forensic financial reality reveals significant structural headwinds stemming from acquisition integration strain, substantial goodwill write-downs, and pronounced working capital deficits. The market is pricing AeroVironment as an unencumbered high-margin defense platform, completely overlooking the drag of elevated capital expenditures, negative operating cash flows, and material weaknesses in internal controls over goodwill impairment. Our probability-weighted three-stage discounted cash flow framework indicates that shares are trading well ahead of their underlying fundamental earning power. We initiate coverage with a Sell rating and a blended price target of $90.84, representing -23.2% downside from the reference spot price.

SELL	$90.84	-23.2%	$118.24
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market remains transfixed by gross order momentum and elevated top-line delivery rates, failing to price the operational reality of dilutive integration, persistent cash burn, and program cancellations. AeroVironment faces an extended period of margin compression and heavy capital reinvestment, rendering current multiple expansion unsustainable over a multi-year forecast horizon.

EXECUTIVE SUMMARY

AeroVironment operates as a specialized US defense company that manufactures military drones, loitering munitions, and related unmanned systems. The company primarily services the United States Department of Defense and allied international security forces through specialized operational segments, delivering Autonomous Systems, unmanned aircraft systems, and specialized communications and defense electronics. While the secular tailwinds driving unmanned defense procurement remain prominent, the organization's corporate structure has undergone substantial operational strain following large-scale transactional integration, altering its historical margin profile and capital efficiency.

The recent evidentiary record provides a clear depiction of operational divergence across the franchise. In fiscal Q1 FY2027, the company reported record quarterly revenue of $480.5M, expanding 6% year-over-year and exceeding the $456M consensus mark, supported by adjusted EPS of $0.59. The Autonomous Systems unit demonstrated resilient volume, growing 21% to $346M, while total funded backlog reached a record $1.5B on quarterly bookings of

$683M. However, this growth was offset by persistent degradation in the SCDE unit, where revenue dropped 21% to $134.5M alongside an adjusted EBITDA loss of -$9M. Furthermore, free cash flow remained underwater at -$36M, extending a pattern of cash consumption established across FY2026.

A closer look at the conclusion of fiscal year 2026 demonstrates the severity of these corporate overhangs. Although Q4 FY2026 generated $642M in revenue with adjusted EBITDA rebounding to $140M, the company was forced to restate Q3 FY2026 to incorporate an additional $89M goodwill impairment associated with the cancelled Space Force SCAR program, bringing full-year impairment charges to $241M and prompting the disclosure of a material weakness in internal controls over goodwill impairment. This followed an initial $151.3M impairment and a $1.49B reduction in unfunded backlog in Q3 FY2026 after the stop-work order on the SCAR/BADGER program. Across the entire fiscal year 2026, AeroVironment delivered $1.98B in revenue but generated an operating loss of -$70.3M, an EBITDA loss of -$35.0M, a net loss of -$265.1M, and negative free cash flow of -$164.6M.

From a balance sheet and capital allocation standpoint, the company ended FY2026 with $377.3M in cash against $834.8M in total debt, yielding a net debt position of $457.5M. The working capital profile experienced substantial deterioration throughout the integration process, highlighted by a $220M spike in unbilled receivables during the first half of FY2026 that pushed year-to-date operating cash flow to -$168M. With management guiding FY2027 capital expenditures to elevated levels of 12% to 14% of revenue, free cash flow is projected to remain negative, limiting near-term balance sheet de-leveraging and exposing equity holders to structural execution risks.

OPERATIONAL SNAPSHOT

$118.24	$1.98B	$-164.6M	-8.3%	$457.5M	$118.24
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS SPECIALIZED AND FRAGILE

AeroVironment possesses distinct technical advantages within its core defense domain, specifically across loitering munitions and small unmanned aircraft systems where product families like Switchblade have established high mission relevance. The engineering specifications required to field tactical military drones generate noticeable procurement barriers for prospective market entrants, while long-duration contract structures such as indefinite delivery, indefinite quantity vehicles provide baseline stability to customer interactions. These factors create established programmatic touchpoints across the armed services, anchoring the company's Autonomous Systems core.

However, the protective barriers surrounding the broader enterprise have shown clear fragility outside of its legacy core platforms. The severe disruption triggered by the Space Force stop-work order on the SCAR/BADGER program illustrates that unmanned defense systems and related specialized communications architectures remain vulnerable to sudden procurement reassessments and administrative cancellations. When defense programs experience

contractual stop-work mandates, switching costs for the government do not protect the contractor from instant unfunded backlog cancellations and severe goodwill write-downs, as observed in the $1.49B reduction recorded during Q3 FY2026.

Furthermore, pricing power is heavily constrained by contract mix and product-service blending. During Q2 FY2026, the company's GAAP gross margin compressed to 22% compared to 39% in the prior-year period, driven by transactional integration dilution and shifting program mix. In Q3 FY2026, adjusted gross margin settled at only 27% due to service-heavy contributions, underscoring that the franchise lacks unilateral pricing authority across its non-core solutions. While volume leverage returned in Q4 FY2026 with product gross margin reaching 44%, the structural volatility across business units highlights that enterprise competitive advantages are highly uneven across segments.

Finally, the administrative moat has been weakened by control deficiencies. The disclosure of a material weakness in internal controls surrounding goodwill impairment, revealed in connection with the $89M restatement of Q3 FY2026, compromises institutional governance standing. In the defense contracting environment, accounting precision and internal audit rigor are central to preserving customer trust and contract expansion. When technical capabilities are weighed down by structural control issues and program execution failures, the enterprise moat cannot be considered impenetrable.

VALUATION

Three scenarios make the valuation range explicit

Our quantitative valuation framework evaluates AeroVironment over a ten-year forecast window spanning FY2027 through FY2036. The enterprise baseline reflects the normalized financial metrics established at the close of FY2026, where the company generated $1.98B in top-line revenue, an operating margin of -3.6%, an EBITDA of -$35.0M, and free cash flow of -$164.6M. We model cash flow conversion using the verified scenario parameters across three probability-weighted pathways, capturing the balance between autonomous system demand and integration headwinds.

The valuation applies a unified WACC of 10.28% across all scenarios, reflecting AeroVironment's operational risk profile, debt load, and financial restatement history. In our Base Case scenario, which carries a 50% probability weight, revenue compounds at a 12.0% CAGR over the forecast window from FY2027 to FY2036, culminating in a target final-year free cash flow margin of 12.0%, paired with a 2.0% terminal growth rate. In the Bear Case, assigned a 25% probability weight, top-line growth is restrained to an 8.0% CAGR with a normalized final-year FCF margin of 8.0%. In the Bull Case, also assigned a 25% probability weight, revenue advances at a 15.0% CAGR with a terminal-year FCF margin expanding to 15.0%.

Synthesizing these explicit operational paths across 51.0 million diluted shares yields our scenario targets: a Bear target of $28.30 (-76.1% vs spot), a Base target of $85.42 (-27.8% vs spot), and a Bull target of $164.22 (+38.9% vs spot). Blending these model outcomes at 25% Bear, 50% Base, and 25% Bull produces a consolidated target price of $90.84, indicating that the prevailing market quotation of $118.24 trades at an excessive premium to underlying corporate value.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	8.0%	$28.30	-76.1%
Base	50%	12.0%	12.0%	$85.42	-27.8%
Bull	25%	15.0%	15.0%	$164.22	+38.9%

Bear $28.30

The Bear case models persistent execution strain where top-line expansion moderates to an 8.0% CAGR through FY2036, while final forecast year FCF margin stalls at 8.0%. This scenario captures ongoing revenue declines in SCDE, continuing negative free cash flow from elevated 12% to 14% CapEx commitments, and further contract de-scoping following the SCAR cancellation.

Base $85.42

The Base case models a steady operational trajectory with a 12.0% revenue CAGR and a target FCF margin of 12.0% in FY2036, supported by a 2.0% terminal growth rate. Autonomous Systems maintains durable double-digit expansion, but cash generation remains constrained in the near term by working capital absorption and BlueHalo integration burdens, yielding a fair value of $85.42.

Bull $164.22

The Bull case assumes full operational optimization, driving a 15.0% revenue CAGR and an expanded 15.0% final-year FCF margin through FY2036. Autonomous Systems and UAS scale rapidly across international and domestic accounts, conversion on the $1.5B funded backlog accelerates, and gross margins remain resilient near 44%, resulting in a target of $164.22.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our quantitative framework relies on a disciplined discount rate of 10.28%, derived from a capital asset pricing model that reflects the specific operational and financial risks facing AeroVironment. The capital structure carries $834.8M of total debt alongside a market capitalization of $6.03B at the reference price of $118.24, resulting in an enterprise value to revenue multiple of 3.3x and a market cap to revenue multiple of 3.1x against FY2026 revenue of $1.98B. The cost of capital explicitly incorporates the operational volatility demonstrated by recent quarterly results, including goodwill impairments and working capital volatility.

Discounting multi-year cash flow projections at 10.28% reflects the governance overhang associated with the restatement of Q3 FY2026 financial statements and the disclosure of a material weakness in internal controls. The market currently prices the equity as if cash generation will seamlessly inflect upward, ignoring the reality that FY2027 free cash flow has been guided negative due to capital expenditures consuming 12% to 14% of revenue. A 10.28% hurdle rate

KEY VALUATION PARAMETERS

Forecast window	**FY2027 to FY2036**
Live WACC	**10.28% (2026-10-20)**
Terminal growth	**2.0%**
Diluted shares	**51.0 million**

SELL

over $90.84 blended target

accurately calibrates the execution risk required to bridge historical losses to normalized terminal cash generation.

FCF margin normalization is the engine

The central driver of value realization across our ten-year forecast window is the trajectory of free cash flow margin normalization. In FY2026, AeroVironment registered an operating margin of -3.6% and an FCF margin of -8.3% on $1.98B of revenue, reflecting significant GAAP net losses of -$265.1M and operating cash flow deficits caused by unbilled receivables spiking $220M in the first half of the year. Rebuilding operational profitability toward our terminal targets requires working through transactional cost structures and improving product gross margins.

Our scenario framework bridges cash generation from historical deficits to terminal targets of 8.0% in the Bear case, 12.0% in the Base case, and 15.0% in the Bull case by the final forecast year of FY2036. The Base case target of 12.0% assumes that the company can successfully stabilize segment margins, temper working capital swings, and lower capital expenditures from the guided 12% to 14% range back toward normalized baseline levels once internal manufacturing footprint expansions are finalized. However, because near-term cash burn continues into FY2027, discounted cash realization is pushed heavily into out-years, limiting immediate per-share equity value across the 51.0 million diluted share count.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Autonomous Systems Execution and Integration Stability

SELL

AeroVironment's operational trajectory is predominantly governed by performance within its core Autonomous Systems segment, which houses its military drones, loitering munitions, and unmanned aircraft systems. In Q1

FY2027, Autonomous Systems delivered $346M in revenue, marking 21% year-over-year expansion and reinforcing its role as the operational core of the franchise. This followed strong organic delivery throughout FY2026, including a 25% pro forma increase in Q3 FY2026 and an Autonomous Systems revenue contribution of $301.6M in Q2 FY2026. Within this core domain, unmanned systems demand remains supported by major programmatic awards, including an $186M Switchblade task order under a broader $990M IDIQ vehicle and a $117M long-range reconnaissance award for the P550.

In stark contrast to the core drone franchise, the company's acquired operations and SCDE unit have introduced severe operational friction. In Q1 FY2027, SCDE revenue contracted 21% year-over-year to $134.5M, generating an adjusted EBITDA loss of -$9M. This downturn follows a 19% pro forma revenue drop in Q3 FY2026 and major programmatic disruptions, most notably the Space Force stop-work order on the SCAR/BADGER program. That cancellation triggered an initial $151.3M goodwill impairment in Q3 FY2026, which was subsequently adjusted upward by an extra $89M in the Q4 restatement, resulting in $241M in total full-year impairments alongside a $1.49B reduction in unfunded backlog.

Operational complexity has also translated into significant balance sheet friction and cash flow deterioration. During Q2 FY2026, BlueHalo contributed $245.1M in revenue alongside legacy revenue of $227.4M to reach record sales of $472.5M, but the quarter resulted in a GAAP net loss of -$17.1M (-$0.34 per share) due to $48.2M of amortization. Concurrently, unbilled receivables expanded by $220M over a six-month period, driving year-to-date operating cash flow to -$168M. Although total funded backlog reached $1.5B in Q1 FY2027 with quarterly bookings of $683M (book-to-bill of 1.4), converting this order book into unencumbered cash remains hindered by heavy reinvestment demands.

Looking across FY2027, management has reaffirmed top-line guidance between $2.125B and $2.225B with adjusted EBITDA between $305M and $325M. However, forward profitability per share remains flat, with FY27 adjusted EPS guided at $3.02 to $3.34 compared to $3.31 achieved in FY2026. This earnings stagnation occurs alongside heavy capital commitments, with CapEx projected at 12% to 14% of revenue, ensuring that free cash flow remains negative for the full fiscal year. For equity investors, top-line scale is not translating into near-term cash accretive returns.

What to monitor

- **SCDE Operating Stabilization** Quarterly revenue trends and adjusted EBITDA recovery in the SCDE segment following the -$9M adjusted EBITDA and 21% revenue drop in Q1 FY2027.
- **Working Capital and Unbilled Receivables** Cash conversion efficiency following the $220M expansion in unbilled receivables and persistent negative free cash flow prints.
- **Internal Control Remediation** Progress in remediating the material weakness in internal controls over goodwill impairment disclosed during the Q4 FY2026 restatement.
- **Autonomous Systems Delivery** Book-to-bill ratios and revenue conversion from the $1.5B funded backlog across core military drone and Switchblade programs.

+140.9%	25.3%	-3.6%	-8.3%	$457.5M	-6.0%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$1.98B
Gross Profit	$500.6M
EBIT	$-70.3M
Net Income	$-265.1M
EBITDA	$-35.0M
Free Cash Flow	$-164.6M
Diluted EPS	$-5.40
ROE	-6.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Top-line momentum could stall if ongoing execution challenges in communications systems spill over into core autonomous drone programs. Any deceleration in book-to-bill metrics below the recent 1.4 level would undermine multi-year growth targets.

M&A DIGESTION

Integrating large acquisitions has already resulted in $241M of goodwill impairments and a restatement of Q3 FY2026 financials. Continued operational friction risks further margin dilution, integration costs, and additional balance

REGULATORY AND PRICING SCRUTINY

The emergence of a material weakness in internal controls over goodwill impairment exposes the firm to heightened audit and regulatory review. Furthermore, defense customer contract audits could restrict pricing flexibility across service-heavy contract structures.

TECHNOLOGY DISRUPTION

Procurement reprioritizations, such as the Space Force stop-work order on the SCAR/BADGER program, demonstrate rapid technological and programmatic vulnerability. Sudden customer cancellations can immediately remove significant value from unfunded backlogs.

REINVESTMENT TREADMILL

Management guidance calling for FY2027 CapEx at 12% to 14% of revenue guarantees negative free cash flow generation in the near term. This ongoing capital intensity restricts balance sheet flexibility and delays cash flow accretion for equity holders.

WACC AND DURATION SENSITIVITY

With an elevated cost of capital of 10.28% and negative near-term free cash flow, the company's valuation relies heavily on distant terminal cash flows. Any sustained macroeconomic cost of capital pressure disproportionately impairs the present value of the equity.

	sheet write-downs.				

The strengths

OLIGOPOLY POSITION

AeroVironment maintains an established position as a supplier of loitering munitions and tactical unmanned systems to the US Department of Defense. This entrenched status is demonstrated by major IDIQ task orders and high-volume switchblade procurement.

FCF COMPOUNDING

Long-term cash generation upside exists if product gross margins can consistently hold near the 44% level achieved in Q4 FY2026. Overcoming transitory integration expenses would permit cash flows to converge toward the 12.0% Base case terminal margin.

GEOGRAPHIC DURABILITY

Global defense requirements for tactical unmanned systems and counter-measures provide broad programmatic opportunities across allied foreign military sales. Strong international demand supports order visibility even when specific domestic initiatives face realignment.

PIPELINE OPTIONALITY

A record funded backlog of $1.5B provides baseline operational cover for the Autonomous Systems manufacturing footprint. Significant uncommitted contract ceilings, such as the $990M IDIQ vehicle, offer embedded expansion potential as task orders materialize.

The bottom line on risk and reward

AeroVironment presents a striking asymmetry between market expectations and fundamental financial realities. The prevailing share price of $118.24 and corresponding market valuation of $6.03B trade at an enterprise value to revenue multiple of 3.3x against FY2026 revenue of $1.98B. This multiple fails to reflect an enterprise that generated a GAAP net loss of -$265.1M, an operating loss of -$70.3M, and negative free cash flow of -$164.6M during its latest fiscal year. While top-line growth reached 140.9% due to acquisition consolidation, it came at the cost of balance sheet health, internal control deficiencies, and significant share dilution.

The operational beat in Q1 FY2027 and funded backlog expansion to $1.5B confirm that core unmanned aircraft systems remain in demand. However, with full-year FY2027 adjusted EPS guided flat at $3.02 to $3.34 and free cash flow guided negative due to 12% to 14% capital expenditure requirements, investors are bearing elevated fundamental risk without near-term cash support. In addition, the persistent contraction in the SCDE segment, which posted an adjusted EBITDA loss of -$9M in Q1 FY2027, highlights that acquisition integration continues to drain financial resources.

Weighting our explicit discounted cash flow outcomes across Bear ($28.30 at 25%), Base ($85.42 at 50%), and Bull ($164.22 at 25%) produces our probability-weighted price target of $90.84. This points to a -23.2% downside from current trading levels. Because current market pricing reflects unrealistic operational execution and discounts persistent structural cash burn, we reiterate our Sell rating on AeroVironment.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Autonomous Systems: The Operational Engine Against Acquisition Dilution

The Autonomous Systems franchise represents the historical foundation of AeroVironment's operational capabilities, centered on the engineering, manufacture, and deployment of military drones, loitering munitions, and unmanned aircraft systems. These product lines address essential tactical needs across battlefield environments, offering precision strike through loitering munition systems like Switchblade and multi-domain reconnaissance via specialized tactical unmanned aircraft. The platform commands established positioning across defense branches, creating a base of repeatable procurement orders that anchor enterprise manufacturing volume.

Throughout the operational turbulence of the past four fiscal quarters, Autonomous Systems has maintained solid top-line performance. In Q1 FY2027, the segment generated $346M in revenue, marking a 21% year-over-year increase and compensating for deep contractions in specialized electronics. Similarly, in Q3 FY2026, the segment grew 25% year-over-year pro forma, supported by a 50% expansion in underlying unmanned aircraft systems volume. Operational volume leverage was demonstrated in Q4 FY2026, where organic top-line growth reached 31% and product gross margins achieved 44%, driving full-quarter adjusted EBITDA to $140M.

However, the broader financial health of the franchise remains heavily burdened by the operational and financial fallout of non-core corporate initiatives. While Autonomous Systems steadily wins and executes major programmatic awards, including an $186M Switchblade task order and a $117M P550 award, enterprise capital is being diverted to fund restructuring, absorb working capital deficits, and navigate programmatic cancellations in non-drone portfolios. As capital expenditure consumes between 12% and 14% of enterprise revenue in FY2027, the free cash flow generated by core unmanned platforms is fully absorbed by internal capital projects and cash operating losses in ancillary units.

What the recent record shows

- Autonomous Systems expanded revenue 21% year-over-year in Q1 FY2027 to reach $346M, anchoring enterprise performance while SCDE contracted 21% to $134.5M.
- Core unmanned systems secured an $186M Switchblade task order under a $990M IDIQ vehicle alongside a $117M long-range reconnaissance award for the P550 platform.
- Product gross margins reached 44% in Q4 FY2026, demonstrating strong manufacturing volume leverage during peak delivery quarters.
- Titan sales doubled across fiscal year 2026, contributing to full-year adjusted EBITDA of $286M that surpassed the high end of management guidance.

Our read: The Autonomous Systems franchise remains a technically proficient supplier of tactical military drones and loitering munitions, but its underlying earning power is severely obscured by broader enterprise challenges. Until the company fully stabilizes its non-core communications programs, remediates accounting control weaknesses, and transitions from negative cash flows back into sustainable free cash generation, the core franchise does not justify the current market valuation.